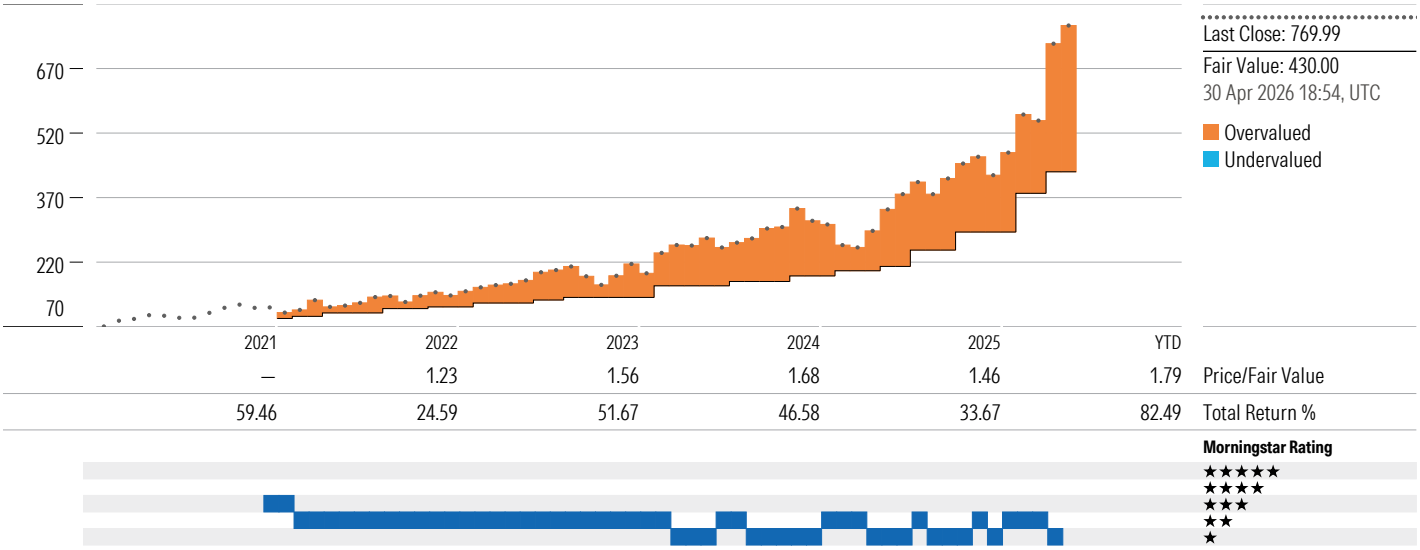
Quanta Services Inc PWR ★★ 18 May 2026 21:17, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
769.99 USD 15 May 2026	430.00 USD 30 Apr 2026 23:54, UTC	1.79	108.50 USD Bil 18 May 2026	None	Large Blend	Very High	Exemplary	16 May 2026 05:00, UTC

Price vs. Fair Value



Total Return % as of 15 May 2026. Last Close as of 15 May 2026. Fair Value as of 30 Apr 2026 18:54, UTC.

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The primary analyst covering this company does not own its stock.

[1]The ESG Risk Rating Assessment is a representation of Sustainalytics' ESG Risk Rating.

Quanta Earnings: Strong Backlog Growth Causes 13% FVE Increase, but Valuation Stretched

Analyst Note Joshua Aguilar, Director, 30 Apr 2026

Quanta's strong first quarter moved ahead of expectations. Revenue grew over 26% year on year to $7.9 billion, with organic revenue rising nearly 14%. Adjusted EBITDA margin rose roughly 60 basis points, while total backlog of $48.5 billion grew 37% year on year. In turn, the stock rose 15%.

Why it matters: Backlog is the number-one metric we think the market is focused on, as it's the leading indicator of multiyear earnings growth. Roughly half of Quanta's backlog is tied to master service agreements, which are recurring maintenance contracts with big utilities.

- The other portion of the backlog comes from engineering and construction contracts, which include the buildout of data center infrastructure. This is a large part of the narrative, but we'd guess it's only a high-single-digit to low-double-digit part of Quanta's backlog mix, albeit growing.
- Through acquisitions, Quanta has begun moving inside the data center to capture complex electrical and mechanical work, which has higher margins, boasts better returns, and higher growth than its core. It could push its recent investor day EBITDA margin targets above 11%.

The bottom line: We lift our fair value estimate for no-moat Quanta to $430 from $380. Most of the raise came from higher long-term organic revenue assumptions, though we also apply a higher multiple as we lowered our WACC. We also raise our Uncertainty Rating to Very High from High.

- At current prices, our revised ratings place the stock firmly in 2-star territory. We think the AI data

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Sector Industrials

Industry Engineering & Construction

Business Description

Quanta Services is a leading provider of specialty contracting services, delivering comprehensive infrastructure solutions for the electric and gas utility, communications, pipeline, and energy industries in the United States, Canada, and Australia. Quanta reports its results under two segments: electric and underground utility and infrastructure.

center pathway is harder to call now. On the one hand, Quanta benefits from access to specialized labor amid shortages. On the other, we'd argue the stock is priced for near perfection.

- Execution must be super strong, including inorganically. While we assign Quanta an Exemplary Capital Allocation Rating, we believe factors beyond its control pose valuation headwinds, including the pace of work amid equipment-supply chain bottlenecks.

Business Strategy & Outlook Joshua Aguilar, Director, 30 Apr 2026

Quanta Services is a leading specialty contractor for customers in the utilities, telecom, oil and gas, and renewable industries. Its strategic focus is positioning it to take advantage of secular growth trends that drive increased demand for contracting services, such as electric grid investment and renewable energy deployment. The company has historically used acquisitions to supplement organic growth in achieving its strategy.

Quanta's largest segment is its electric segment, which provides contracting services for transmission and distribution construction and maintenance for electric utilities. Through a combination of organic growth and acquisitions, Quanta has grown into the largest provider of T&D contracting services in the United States. While Quanta is known for its differentiated capabilities with large electric transmission projects, its business has shifted toward more "base" activities in recent years.

In addition to these macro trends, we view the company as well situated to take advantage of the long-term trend of greater outsourcing by electric utilities, particularly in distribution, where the majority of work is still performed in-house by utilities today.

Quanta's renewable energy business is housed within its electric segment and consists largely of its 2021 acquisition of Blattner, a leading engineering, procurement, and construction provider for wind and solar projects.

Quanta's underground utility segment consists of a combination of gas utility, industrial, and oil and gas pipeline contracting services. We expect this segment to represent a shrinking portion of Quanta's business in coming years, given stronger growth opportunities in its other businesses. Management's key focus is on improving operating margins, which have lagged normal levels in recent years.

Quanta expanded its capabilities into inside electrical and mechanical work with its 2024 acquisition of Cupertino Electric and 2025 deal for Dynamic Systems. We believe these acquisitions represents a new platform for further inorganic capital investment in a large addressable market that could further power earnings growth.

Bulls Say Joshua Aguilar, Director, 30 Apr 2026

- Quanta offers exposure to secular growth in electric transmission and distribution spending.

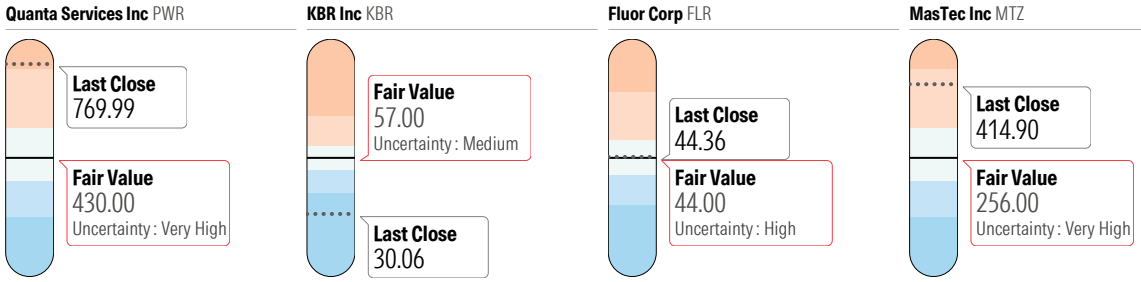
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Competitors



	Quanta Services Inc PWR	KBR Inc KBR	Fluor Corp FLR	MasTec Inc MTZ
Economic Moat	None	None	None	None
Currency	USD	USD	USD	USD
Fair Value	430.00 17 May 2026 08:39, UTC	57.00 17 May 2026 08:48, UTC	44.00 17 May 2026 08:42, UTC	256.00 17 May 2026 08:40, UTC
1-Star Price	752.50	76.95	68.20	448.00
5-Star Price	215.00	39.90	26.40	128.00
Assessment	Overvalued 18 May 2026	Undervalued 18 May 2026	Fairly Valued 18 May 2026	Overvalued 18 May 2026
Morningstar Rating	★★18 May 2026 21:17, UTC	★★★★★15 May 2026 05:00, UTC	★★★15 May 2026 05:00, UTC	★★15 May 2026 05:00, UTC
Analyst	Joshua Aguilar, Director	Krzysztof Smalec, Equity Analyst	Krzysztof Smalec, Equity Analyst	Joshua Aguilar, Director
Capital Allocation	Exemplary	Standard	Standard	Standard
Price/Fair Value	1.79	0.53	1.01	1.62
Price/Sales	3.87	0.50	0.46	2.13
Price/Book	12.77	2.41	2.19	9.91
Price/Earning	105.62	8.53	20.63	72.66
Dividend Yield	—	2.14%	0.00%	0.00%
Market Cap	108.50 Bil	4.09 Bil	6.19 Bil	30.47 Bil
52-Week Range	320.56—788.75	29.94—56.40	37.34—57.50	145.46—441.43
Investment Style	Large Blend	Small Value	Small Blend	Mid Growth

- ▶ The 2024 acquisition of Cupertino Electric expands Quanta's reach into a large addressable market.
- ▶ Base business activities represent approximately 85% of Quanta's revenue, reducing its risk to large-scale project difficulties that have plagued engineering and construction firms in the past.

Bears Say Joshua Aguilar, Director, 30 Apr 2026

- ▶ Quanta's consistent acquisitions present risks should deals not go as planeed.
- ▶ Quanta operates in the highly fragmented and competitive engineering and construction industry, with an inconsistent history in earning excess returns.
- ▶ Quanta trades at a significantly higher valuation than industry peers.

Economic Moat Joshua Aguilar, Director, 30 Apr 2026

We don't think Quanta has an economic moat. We believe the company is a leader among specialty contractors for electric transmission and distribution services as well as its newly acquired renewable

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engineering, procurement, and construction business. However, we have not seen its market share leadership translate to superior returns on invested capital relative to peers and see limited economic moats across our engineering and construction group coverage.

We believe most engineering and construction firms lack moats because of intense competition, significant customer power, and the relatively standardized nature of most projects. Furthermore, E&C firms have to contend with cyclicality and event risk, which could be caused by a number of factors, including labor shortages, subcontractor performance, and inclement weather. While we view Quanta as more insulated from large-project risk than many of its E&C peers (typically 10% of its business is from large projects), many of the same industry dynamics are still present.

Quanta's electric infrastructure segment consists primarily of construction and maintenance of electric transmission and distribution assets for utilities. Quanta has assembled a nationwide footprint through a combination of acquisitions and organic growth in a market largely consisting of private regional and local competitors. Quanta's market share of relevant utility spending is estimated to be nearly 15%, 3 times the next-largest competitor's in a relatively fragmented competitive landscape.

Despite Quanta's leading market share, we do not believe its electric power segment has a moat. We view its strongest competitive position to be in constructing large electrical transmission projects with greater technical and financial requirements. However, this is expected to remain a minority of the segment's operating profit for the foreseeable future. This has led to a greater percentage of business from its base activities—smaller new construction and maintenance service agreements, or MSAs. We see a level of moatiness with this business associated with switching costs—programmatic spending with multiyear investment timelines prioritizes efficiency over the lowest cost provider. However, there are limited contractual protections associated with MSAs and utilities' heavy regulatory oversight may limit concentration from one provider.

Quanta's renewable power infrastructure business consists of its 2021 acquisition of Blattner, a leading EPC for wind and solar projects. We estimate Blattner's market share to be approximately 30% for wind and 10%-15% for solar, positioning it at the top of the renewable EPC industry. We see the wind EPC business as offering potential competitive advantages given greater project complexity and larger average project sizes. However, we expect Blattner's business to shift toward mostly solar in the coming years, where we believe the competitive playing field is more level. Solar projects tend to be relatively simple to construct compared with other technologies, leading to lower barriers to entry.

Quanta's underground utility segment serves customers in the gas utility, oil and gas pipeline, and industrial industries. We believe this segment possesses the weakest competitive position of its two segments. This is evidenced by operating margins that have consistently lagged its other segments and peers.

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Fair Value and Profit Drivers Joshua Aguilar, Director, 30 Apr 2026

Following first-quarter earnings, we lift our fair value estimate for Quanta to $430 from $380. Most of the raise came from higher long-term organic revenue assumptions, though we also apply a higher multiple from a lower weighted average cost of capital.

The two most significant drivers of profit and valuation are revenue growth and segment operating margins. We expect consolidated revenue to grow at a 15% compound annual rate, primarily through organic growth, but supplemented by inorganic growth. Our forecast expects the fastest revenue growth in the electric infrastructure segment, with more modest growth in the underground utility segment.

Operating margins are expected to improve modestly on a consolidated basis through our forecast period, rising from under 6% in 2025 to over 8% in 2030. Rising margins in the underground utility and electric infrastructure segments drive the improvement.

The electric infrastructure segment accounts for roughly 85% of the 2025 segment-level operating profit, making it the largest contributor to our fair value estimate. Therefore, we view the outlook for electric transmission and distribution spending to be the largest single driver of our fair value estimate.

Risk and Uncertainty Joshua Aguilar, Director, 30 Apr 2026

We assign a Very High Morningstar Uncertainty Rating to Quanta. While we view the company as having lower downside risk than many engineering and construction peers, we think the upside risk related to inside the data center work is hard to call. Lower downside risk is driven by its primarily utility customer base (70% of revenue), limited exposure to large projects (approximately 10%-15% of revenue), and self-performing over 80% of its work.

While Quanta's customer base and limited large project risk lower its risk, it is not immune to other risks in the specialty contracting industry. We see the largest risk tied to weakness in end-market demand. Quanta's costs are largely labor-related, and utilization of the company's large labor force is a key driver of margins. In times of robust spending by Quanta's customers, the company can earn healthy margins driven by strong labor force utilization. However, should the company experience weakness in its end markets—namely, electric transmission and distribution—we would expect to see a more competitive environment and lower margins.

The most material environmental, social, and governance risks for Quanta include increased environmental restrictions on fossil fuels affecting its underground utility segment and project delays associated with large-scale new construction. We view potential restrictions on the use of fossil fuels as largely not material to our fair value estimate, since this segment represented less than 20% of the company's 2025 operating margin. The company faces risks from community acceptance with large-

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scale projects such as electric transmission, wind, and solar projects. Delays or potential cancellations of projects could prove somewhat material to our fair value estimate.

Capital Allocation Joshua Aguilar, Director, 30 Apr 2026

We assign Quanta an Exemplary Capital Allocation Rating based on its balance sheet strength, investment record, and shareholder distribution policy.

Quanta's balance sheet appears to be in a sound position, and we view its investment-grade credit rating as a differentiator relative to peers. The company's leverage profile 1.95 times as of year-end 2025, in line with its 1.5-2.0 target.

We assess Quanta's investment record to be strong. The company has historically invested more in acquisitions than in organic growth over time. We view its acquisition history as highly successful as Quanta has demonstrated an ability to rapidly scale acquired businesses once under the Quanta umbrella. Quanta's acquisitions have generally focused on accessing growing end markets rather than buying distressed peers. In addition, the company has shown a willingness to allocate modest capital toward more creative avenues—including joint ventures and equity investments in select projects and companies in its history.

We find Quanta's approach to equity distributions to be appropriate. The company began paying a nominal dividend in 2019, but we do not expect it to become a yield-oriented investment, and forecast dividends to be a modest use of cash. Quanta has shown a willingness to be opportunistic with share repurchases throughout its history.

Analyst Notes Archive

Quanta Services Earnings: Organic and Inorganic Growth Drive Strong Outlook; Valuation Still Rich
Brett Castelli,Senior Equity Analyst,20 Feb 2026

Quanta Services delivered fourth-quarter revenue of $7.8 billion (up 20% year on year, 11% organic) and adjusted EBITDA of $845 million. The company guided 2026 revenue to $33.5 billion at the midpoint with adjusted EPS of $13, representing over 20% earnings growth. Why it matters: Quanta's 2026 guidance was consistent with our expectations when accounting for acquisitions closed in the fourth quarter. Quanta acquired Tri-City Group, Wilson Construction, and Billings Flying Service for approximately $1.7 billion in aggregate. These add inside electrical, high-voltage transmission, and helicopter capabilities. The company is also increasing its organic investments in 2026, which includes spending $300 million to expand power transformer manufacturing capacity. 2026 organic revenue growth in the electric segment is expected to be 10%, slightly above our 8% estimate. The technology & load centers market is its fastest-growing subsegment, at 60%-80% expected revenue growth in 2026. The bottom line: We raise our fair value estimate to $380 from $290 for no-moat Quanta. The increase

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reflects higher revenue growth from increased unannounced future acquisitions, as well as slightly higher margin assumptions. Our revised assumptions now forecast 5-year revenue and earnings per share growth rates of 13% and 18%, respectively, driven by both organic and inorganic growth. We continue to see Quanta as well-positioned to benefit from secular growth in grid investment, power generation expansion, and data centers. However, with the stock trading at a premium valuation (41 times our 2026 EPS), we see this outlook already reflected in the share price. Key stats: Total backlog reached a record $44.0 billion, including a 12-month backlog of $25.9 billion. The electric segment backlog was $36.2 billion, with $1.7 billion from fourth-quarter acquisitions. Free cash flow was a record $1.7 billion for the year. Total debt rose to $6.0 billion, with net leverage at 1.95 times.

Quanta Services Earnings: Capabilities Continue to Grow With Gas Generation Joint Venture Brett Castelli,Senior Equity Analyst,30 Oct 2025

Quanta Services reported third quarter revenue of $7.6 billion and EBITDA of $858 million. Full year revenue and EBITDA guidance were left largely unchanged as organic growth strength in the electric segment was offset by weakness in pipeline activities. Why it matters: The headline from the quarter was Quanta is expanding its capabilities to include combined cycle gas generation via a 50-50 joint venture with Zachry. Management has historically been cautious on undertaking gas generation projects following past challenges, but the current resurgence in gas-fired generation was likely too big of an opportunity to pass up, in our view. The joint venture has been selected by NiSource to design, procure, and construct 3 gigawatts of power for a large load customer. We estimate the combined cycle gas contract amounts to nearly $3 billion, or $1.5 billion at Quanta's 50% share. The bottom line: We are raising our fair value estimate to $290 per share from $240 as we have adjusted our modelling to now include future, unannounced acquisitions. Our revised forecast projects 5-year revenue and earnings per share growth rates of 13% and 18%, respectively, driven by a combination of organic and inorganic growth. We continue to see Quanta as well-positioned to benefit from secular growth, such as grid investment and data centers. However, we view this as already reflected in its current valuation and see the shares as overvalued. Big picture: We are increasing our capital allocation rating to Exemplary from Standard to account for Quanta's unmatched acquisition track record within the engineering and construction industry. Quanta has a demonstrated track record of rapidly scaling revenues of acquired companies and we see the recent Cupertino Electric and Dynamic Systems transactions as the latest success stories in this playbook.

Quanta Services Earnings: Dynamic Systems Acquisition Is the Latest in M&A Playbook Brett Castelli,Senior Equity Analyst,31 Jul 2025

Quanta Services delivered second-quarter revenue of $6.8 billion and EBITDA of $669 million compared with PitchBook consensus of $6.6 billion and $662 million, respectively. Full year revenue and EBITDA guidance were raised 3%, largely due to acquisitions. Why it matters: The in-line results were headlined

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by the $1.35 billion acquisition of Dynamic Systems, expanding Quanta's presence into the mechanical contractor space. Dynamic's EBITDA margins of 15% are well above Quanta's, and the purchase price of 8.4 times appears reasonable. We see Dynamic as the latest chapter in Quanta's unmatched M&A playbook, where it acquires companies in adjacent end markets and rapidly scales revenues. Core business results saw organic revenue growth of 6% compared with the prior-year period, consisting of 5% growth in Electric Infrastructure and 9% at Underground Utility. We forecast organic revenue growth of 7%-8% over the long term, driven by a rebound in high-voltage transmission projects. The bottom line: We are raising our fair value estimate to $248 per share from $210. The higher valuation is driven by increased revenue growth and EBITDA margins, as we account for outperformance resulting from the Cupertino and Dynamic Systems acquisitions. We continue to see Quanta as well-positioned to benefit from secular growth, such as grid investment and data centers. However, we view this as already reflected in its current valuation and see the shares as overvalued. Our DCF-derived valuation implies an EV/EBITDA multiple of 14 times relative to 23 times at current market prices. Big picture: Quanta's reach across the craft skilled labor market continues to expand beyond its utility-oriented roots. The 2024 Cupertino acquisition, along with the Dynamic Systems deal, adds inside electrical and mechanical capabilities, akin to the likes of Comfort Systems and EMCOR.

Clean Energy: House Tax Bill Broadly in Line With Our Expectations, but Better Than Many Feared

Brett Castelli,Senior Equity Analyst,13 May 2025

On May 12 the House Ways and Means Committee released its long-awaited budget reconciliation bill. The bill includes updates to key clean energy incentives established or extended under the Inflation Reduction Act. Why it matters: Tax credits play a meaningful role in the buildout of wind and solar in the US. Since the election of Donald Trump the market has feared a full repeal of the Inflation Reduction Act and its bevy of clean energy incentives. The proposed changes in the House draft are broadly in line with our expectations that the tax credits would be phased out earlier than currently written in law, but not repealed immediately. Many solar stocks rose 10% or more on May 13 in response to the draft bill. We believe the market reaction speaks more to calming investor fears of a worst case scenario than the outcome being materially better than expected. The bottom line: We are maintaining our fair value estimates across our clean energy coverage after digesting the initial language. We view this as a first draft, which is likely to see changes as the bill is debated in Congress in the weeks and months ahead. While we see the draft as alleviating worst case fears for investors, we don't see it as a buying opportunity with many clean energy stocks fairly-valued following recent share price appreciation. The earlier phaseout of the Production Tax Credit and Investment Tax Credit, which is now slated to begin in 2029 (originally: 2032 or later), was broadly in line with our expectations. We see First Solar as among the biggest beneficiaries of the proposal, given restrictions on claiming tax credits for equipment or entities from China and little change to domestic manufacturing credits. In contrast, the loss of the residential clean energy tax credit (25d) beyond this year would be a negative for Enphase, but we

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Quanta Services Inc PWR ★★ 18 May 2026 21:17, UTC

Last Price	Fair Value Estimate	Price/FVE	Market Cap	Economic Moat™	Equity Style Box	Uncertainty	Capital Allocation	ESG Risk Rating Assessment[1]
769.99 USD 15 May 2026	430.00 USD 30 Apr 2026 23:54, UTC	1.79	108.50 USD Bil 18 May 2026	None	Large Blend	Very High	Exemplary	16 May 2026 05:00, UTC

would expect the market to shift toward more lease-financing structures over time, mitigating the impact.

Quanta Services Earnings: Consistent Results Amid Macro Volatility Send Shares Higher Brett Castelli,Senior Equity Analyst,1 May 2025

Quanta Services delivered first-quarter adjusted earnings per share of $1.78. Full-year guidance for revenue and EPS was increased roughly 1% from prior guidance.Why it matters: Results and guidance show Quanta's continued string of consistent results. Our full-year estimates remain at the high end of guidance. Regarding tariffs, management believes its contracts limit exposure to direct cost increases associated with currently implemented tariffs.The bottom line: We are raising our fair value estimate to $210 per share from $200 for no-moat Quanta Services. The higher valuation is driven by a slight increase in our revenue and EBITDA margin forecast as we incorporate upside from the Cupertino acquisition and potential transmission project wins. We continue to view Quanta as well positioned to benefit from secular growth, such as grid investment, renewable energy buildout, and data centers. However, we think this is reflected in its valuation and consider shares overvalued. Our valuation assumes an organic revenue growth rate of 7%-8% beyond 2025, which translates to an EPS growth rate of approximately 10%. Additional acquisitions, which we do not forecast, could represent upside to our forecast.Coming up: Over the balance of 2025, we will be watching for potential sizable awards from high-voltage transmission and data center projects. Conversely, we see potential headwinds for new renewable project awards given ongoing policy uncertainty. In conjunction with results, Quanta announced that it was selected for a greater than $1 billion transmission upgrade project in Southern California. We see further potential awards from recently approved ERCOT transmission buildout along with other regions as utilities accelerate transmission spending. Cupertino continues to perform well since being acquired last year. We remain on watch for additional revenue synergies as Quanta integrates Cupertino's technology customer base with its broader capabilities.

Quanta Services Earnings: Continued String of Solid Results, but Bar Remains High Brett Castelli,Senior Equity Analyst,21 Feb 2025

Quanta Services delivered fourth-quarter earnings per share of $2.94 and initiated 2025 guidance. Revenue is expected to grow 13% at the midpoint with an EBITDA margin of 10.2%. Why it matters: Quanta's revenue guidance was 2% below our estimate, while EBITDA margins surpassed our 9.8% forecast. Guidance includes roughly $500 million of revenue from recent acquisitions, which was not in our forecast. While revenue guidance was soft relative to our expectations, we are encouraged by margin guidance, notably within its electric infrastructure segment. Margins for the segment are expected to be flat year over year despite lower contribution from high-margin storm activity in 2025. The bottom line: We raise our fair value estimate to $200 from $188 for no-moat Quanta Services. The higher valuation is driven by an increased EBITDA margin forecast, partially offset by moderating our

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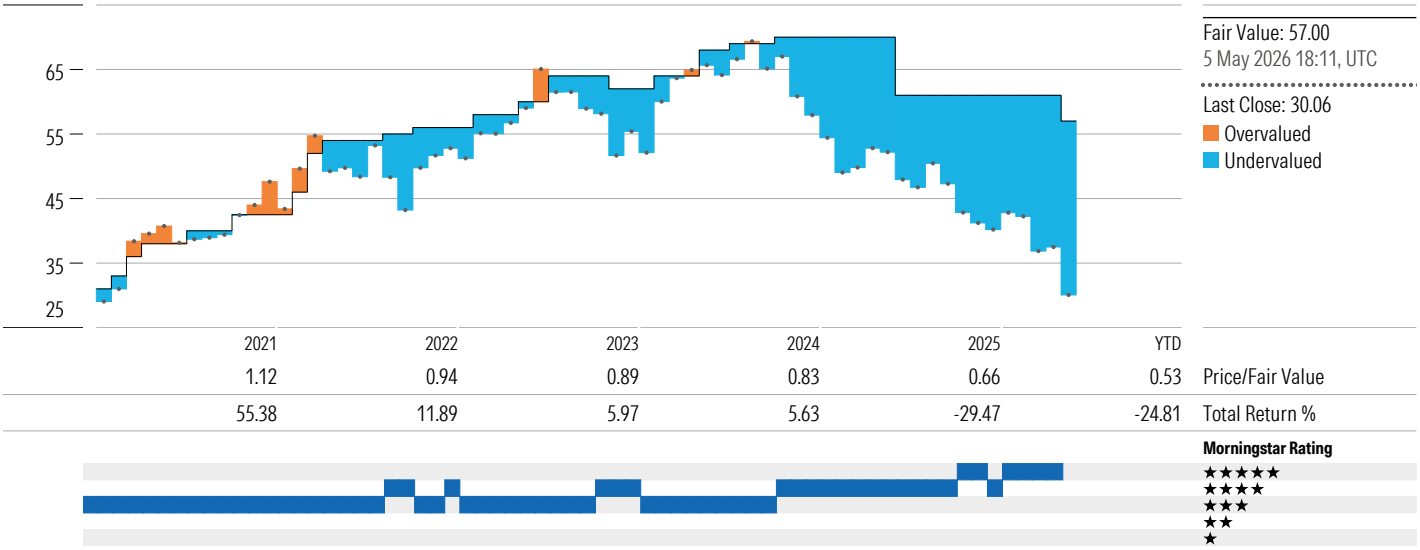
organic revenue assumptions. Quanta shares are likely to remain intertwined with the data center thematic in the months ahead, as evidenced by trading in recent weeks. We continue to see Quanta as well-positioned to benefit from secular growth, such as grid investment, renewable energy buildout, and data centers. However, we view this as already reflected in its current valuation and see the shares as overvalued. Our DCF-derived valuation implies an enterprise value/EBITDA multiple of 12 times relative to 17 times at current market prices. Big picture: Quanta's reach across the craft skilled labor market continues to expand far beyond its utility-oriented roots. The 2024 acquisition of Cupertino is its latest on this journey and brings a large addressable market for organic and inorganic capital deployment within electrical and mechanical end-markets. Quanta has recognized impressive returns on new invested capital in recent years. ROIC reached 11% in 2024, up from 7% in 2021, which we attribute partially to more favorable cash flow dynamics associated with acquisitions.

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Quanta Services Inc PWR ★★ 18 May 2026 21:17, UTC

Competitors Price vs. Fair Value

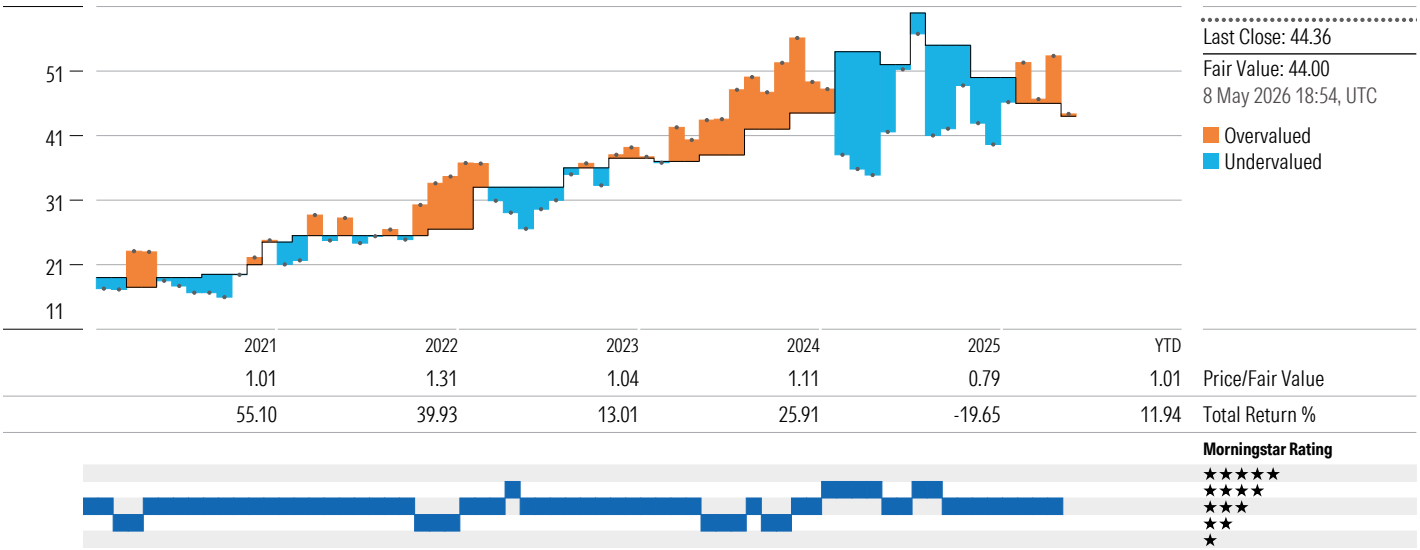
KBR Inc KBR



	2021	2022	2023	2024	2025	YTD	
	1.12	0.94	0.89	0.83	0.66	0.53	Price/Fair Value
	55.38	11.89	5.97	5.63	-29.47	-24.81	Total Return %

Total Return % as of 15 May 2026. Last Close as of 15 May 2026. Fair Value as of 5 May 2026 18:11, UTC.

Fluor Corp FLR



	2021	2022	2023	2024	2025	YTD	
	1.01	1.31	1.04	1.11	0.79	1.01	Price/Fair Value
	55.10	39.93	13.01	25.91	-19.65	11.94	Total Return %

Total Return % as of 15 May 2026. Last Close as of 15 May 2026. Fair Value as of 8 May 2026 18:54, UTC.

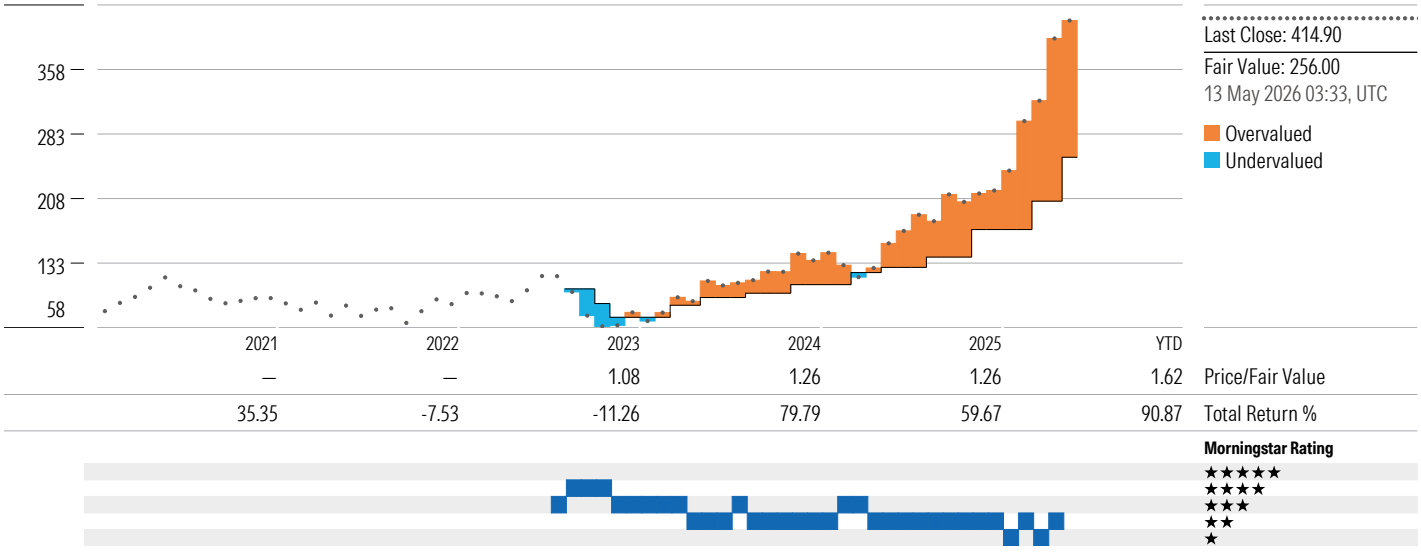
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Competitors Price vs. Fair Value

MasTec Inc MTZ



	2021	2022	2023	2024	2025	YTD	
	—	—	1.08	1.26	1.26	1.62	Price/Fair Value
	35.35	-7.53	-11.26	79.79	59.67	90.87	Total Return %

Total Return % as of 15 May 2026. Last Close as of 15 May 2026. Fair Value as of 13 May 2026 03:33, UTC.

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Morningstar Valuation Model Summary

Financials as of 30 Apr 2026	Actual			Forecast				
Fiscal Year, ends 31 Dec	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
Revenue (USD Mil)	20,882	23,673	28,480	35,035	39,791	45,142	51,159	57,922
Operating Income (USD Mil)	1,135	1,354	1,643	2,279	2,780	3,379	4,047	4,739
EBITDA (USD Mil)	1,742	2,089	2,522	3,350	3,946	4,621	5,375	6,162
Adjusted EBITDA (USD Mil)	1,947	2,331	2,876	3,651	4,279	4,989	5,782	6,613
Net Income (USD Mil)	745	905	1,028	1,502	1,871	2,303	2,786	3,283
Adjusted Net Income (USD Mil)	1,065	1,346	1,626	2,158	2,559	3,028	3,541	4,073
Free Cash Flow To The Firm (USD Mil)	627	-18	-1,937	2,054	672	1,033	1,339	1,494
Weighted Average Diluted Shares Outstanding (Mil)	149	150	151	152	152	152	152	152
Earnings Per Share (Diluted) (USD)	5.00	6.03	6.80	9.90	12.34	15.18	18.36	21.64
Adjusted Earnings Per Share (Diluted) (USD)	7.16	8.97	10.75	14.22	16.87	19.96	23.34	26.85
Dividends Per Share (USD)	0.32	0.36	0.40	0.44	0.48	0.52	0.56	0.60

Margins & Returns as of 30 Apr 2026		Actual			Forecast					
	3 Year Avg	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**	**5 Year Avg**
Operating Margin %	5.6	5.4	5.7	5.8	6.5	7.0	7.5	7.9	8.2	7.4
EBITDA Margin %	—	8.3	8.8	8.9	9.6	9.9	10.2	10.5	10.6	—
Adjusted EBITDA Margin %	—	9.3	9.9	10.1	10.4	10.8	11.1	11.3	11.4	11.0
Net Margin %	3.7	3.6	3.8	3.6	4.3	4.7	5.1	5.5	5.7	5.1
Adjusted Net Margin %	5.5	5.1	5.7	5.7	6.2	6.4	6.7	6.9	7.0	6.7
Free Cash Flow To The Firm Margin %	-1.3	3.0	-0.1	-6.8	5.9	1.7	2.3	2.6	2.6	3.0

Growth & Ratios as of 30 Apr 2026		Actual			Forecast					
	3 Year CAGR	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**	**5 Year CAGR**
Revenue Growth %	18.6	22.3	13.4	20.3	23.0	13.6	13.5	13.3	13.2	15.3
Operating Income Growth %	22.6	27.3	19.3	21.4	38.8	22.0	21.5	19.8	17.1	23.6
EBITDA Growth %	18.5	14.8	19.9	20.7	32.8	17.8	17.1	16.3	14.6	19.7
Adjusted EBITDA Growth %	19.5	15.6	19.7	23.4	26.9	17.2	16.6	15.9	14.4	18.1
Earnings Per Share Growth %	27.0	50.8	20.5	12.7	45.7	24.6	23.1	21.0	17.8	26.1
Adjusted Earnings Per Share Growth %	27.0	12.9	25.4	19.8	32.3	18.6	18.3	17.0	15.0	26.1

Valuation as of 30 Apr 2026	Actual			Forecast				
	2023	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
Price/Earning	30.1	35.2	39.3	50.8	42.9	36.2	31.0	26.9
Price/Sales	1.5	2.0	2.2	3.1	2.7	2.4	2.1	1.9
Price/Book	5.1	6.5	7.1	10.6	9.0	7.6	6.4	5.4
Price/Cash Flow	—	—	—	—	—	—	—	—
EV/EBITDA	18.2	21.8	23.8	31.3	26.7	22.9	19.8	17.3
EV/EBIT	31.2	37.6	41.7	50.2	41.2	33.9	28.3	24.2
Dividend Yield %	0.2	0.1	0.1	0.1	0.1	0.1	0.1	0.1
Dividend Payout %	4.5	4.0	3.7	3.1	2.9	2.6	2.4	2.2
Free Cash Flow Yield %	—	—	—	—	—	—	—	—

Operating Performance / Profitability as of 30 Apr 2026	Actual			Forecast				
Fiscal Year, ends 31 Dec	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
ROA %	5.1	5.5	4.8	6.4	7.0	7.6	8.0	8.3
ROE %	11.9	12.3	11.4	14.4	15.3	15.9	16.2	16.1
ROIC %	9.0	9.6	9.2	11.2	13.1	14.5	15.9	16.8

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Financial Leverage (Reporting Currency)	Actual			Forecast				
Fiscal Year, ends 31 Dec	**2023**	**2024**	**2025**	**2026**	**2027**	**2028**	**2029**	**2030**
Debt/Capital %	12.5	8.8	9.3	8.0	8.1	8.3	8.4	8.5
Assets/Equity	2.3	2.3	2.4	2.2	2.2	2.1	2.0	1.9
Net Debt/EBITDA	1.8	1.8	2.4	1.1	0.9	0.6	0.3	0.1
Total Debt/EBITDA	2.3	1.9	2.2	1.6	1.6	1.5	1.4	1.4
EBITDA/ Net Interest Expense	11.1	13.7	11.7	13.5	15.4	16.2	16.9	17.4

Forecast Revisions as of 30 Apr 2026	2026		2027		2028	
Prior data as of 31 Mar 2026	**Current**	**Prior**	**Current**	**Prior**	**Current**	**Prior**
Fair Value Estimate Change (Trading Currency)	430.00	380.09	—	—	—	—
Revenue (USD Mil)	35,035	34,006	39,791	38,116	45,142	42,689
Operating Income (USD Mil)	2,279	2,163	2,780	2,614	3,379	3,102
EBITDA (USD Mil)	3,651	3,561	4,279	4,096	4,989	4,680
Net Income (USD Mil)	2,158	2,059	2,559	2,416	3,028	2,819
Earnings Per Share (Diluted) (USD)	9.90	9.19	12.34	11.35	15.18	13.80
Adjusted Earnings Per Share (Diluted) (USD)	14.22	13.58	16.87	15.92	19.96	18.59
Dividends Per Share (USD)	0.44	0.44	0.48	0.48	0.52	0.52

Key Valuation Drivers as of 30 Apr 2026

Cost of Equity %	8.9
Pre-Tax Cost of Debt %	4.9
Weighted Average Cost of Capital %	7.8
Long-Run Tax Rate %	—
Stage II EBI Growth Rate %	10.0
Stage II Investment Rate %	57.0
Perpetuity Year	15

Additional estimates and scenarios available for download at https://pitchbook.com/.

Discounted Cash Flow Valuation as of 30 Apr 2026

	USD Mil
Present Value Stage I	5,332
Present Value Stage II	13,856
Present Value Stage III	50,054
Total Firm Value	**69,242**
Cash and Equivalents	440
Debt	5,995
Other Adjustments	0
Equity Value	**63,687**
Projected Diluted Shares	152
Fair Value per Share (USD)	**430.00**

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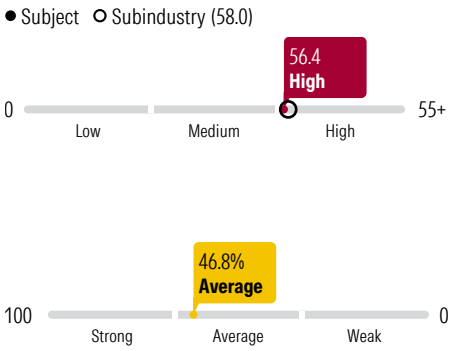
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ESG Risk Rating Breakdown

Exposure	
Company Exposure[1]	56.4
– Manageable Risk	51.2
Unmanageable Risk[2]	**5.2**
Management	
Manageable Risk	51.2
– Managed Risk[3]	24.0
Management Gap[4]	**27.3**
Overall Unmanaged Risk	**32.4**



- Exposure represents a company's vulnerability to ESG risks driven by their business model
- Exposure is assessed at the Subindustry level and then specified at the company level
- Scoring ranges from 0-55+ with categories of low, medium, and high-risk exposure

- Management measures a company's ability to manage ESG risks through its commitments and actions
- Management assesses a company's efficiency on ESG programs, practices, and policies
- Management score ranges from 0-100% showing how much manageable risk a company is managing

ESG Risk Rating



ESG Risk Ratings measure the degree to which a company's value is impacted by environmental, social, and governance risks, by evaluating the company's ability to manage the ESG risks it faces.

1. A company's Exposure to material ESG issues 2. Unmanageable Risk refers to risks that are inherent to a particular business model that cannot be managed by programs or initiatives 3. Managed Risk = Manageable Risk multiplied by a Management score of 46.8% 4. Management Gap assesses risks that are not managed, but are considered manageable 5. ESG Risk Rating Assessment = Overall Unmanaged Risk = Management Gap plus Unmanageable Risk

ESG Risk Rating Assessment[5]



ESG Risk Rating is of May 16, 2026. Highest Controversy Level is as of May 08, 2026. Sustainalytics Subindustry: Non-Residential Construction. Sustainalytics provides Morningstar with company ESG ratings and metrics on a monthly basis and as such, the ratings in Morningstar may not necessarily reflect current Sustainalytics' scores for the company. For the most up to date rating and more information, please visit: sustainalytics.com/esg-ratings/.

Peer Analysis 16 May 2026

Peers are selected from the company's Sustainalytics-defined Subindustry and are displayed based on the closest market cap values

Company Name	Exposure			Management			ESG Risk Rating		
Quanta Services Inc	56.4 | High	0	55+	46.8 | Average	100	0	32.4 | High	0	40+
Fluor Corp	54.5 | Medium	0	55+	55.5 | Strong	100	0	26.6 | Medium	0	40+
MasTec Inc	60.5 | High	0	55+	27.0 | Average	100	0	45.5 | Severe	0	40+
KBR Inc	41.5 | Medium	0	55+	73.6 | Strong	100	0	13.3 | Low	0	40+
—	— | —	0	55+	— | —	100	0	— | —	0	40+

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Appendix

Historical Morningstar Rating

Quanta Services Inc PWR 15 May 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	★	★★	★★	★★	★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★	★	★	★	★★	★	★	★	★★	★★	★★	★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★	★	★	★	★★	★★	★	★	★	★★	★★	★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★	★★	★★	★★	★★	★★	★★	★★	★★	★★	★★	★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★	★★	★★	★★	★★	★★	★★	★★	★★	★★	★★★	★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
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KBR Inc KBR 15 May 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
—	—	—	—	—	—	—	★★★★★	★★★★★	★★★★★	★★★★★	★★★★
Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
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Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
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Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
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Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★★	★★★	★★★★	★★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★

Fluor Corp FLR 15 May 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
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Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
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Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★★	★★	★★	★★★	★★	★★	★★	★★★	★★★	★★★	★★★	★★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★★	★★★	★★★	★★★	★★
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
★★	★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★★	★★	★★	★★★	★★★

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MasTec Inc MTZ 15 May 2026 05:00, UTC

Dec 2026	Nov 2026	Oct 2026	Sep 2026	Aug 2026	Jul 2026	Jun 2026	May 2026	Apr 2026	Mar 2026	Feb 2026	Jan 2026
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Dec 2025	Nov 2025	Oct 2025	Sep 2025	Aug 2025	Jul 2025	Jun 2025	May 2025	Apr 2025	Mar 2025	Feb 2025	Jan 2025
★★	★★	★★	★★	★★	★★	★★	★★	★★★	★★★	★★	★★
Dec 2024	Nov 2024	Oct 2024	Sep 2024	Aug 2024	Jul 2024	Jun 2024	May 2024	Apr 2024	Mar 2024	Feb 2024	Jan 2024
★★	★★	★★	★★	★★★	★★	★★	★★	★★★	★★★	★★★	★★★
Dec 2023	Nov 2023	Oct 2023	Sep 2023	Aug 2023	Jul 2023	Jun 2023	May 2023	Apr 2023	Mar 2023	Feb 2023	Jan 2023
★★★	★★★★	★★★★	★★★★	★★★	—	—	—	—	—	—	—
Dec 2022	Nov 2022	Oct 2022	Sep 2022	Aug 2022	Jul 2022	Jun 2022	May 2022	Apr 2022	Mar 2022	Feb 2022	Jan 2022
—	—	—	—	—	—	—	—	—	—	—	—
Dec 2021	Nov 2021	Oct 2021	Sep 2021	Aug 2021	Jul 2021	Jun 2021	May 2021	Apr 2021	Mar 2021	Feb 2021	Jan 2021
—	—	—	—	—	—	—	—	—	—	—	—

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Overview

At the heart of our valuation system is a detailed projection of a company's future cash flows, resulting from our analysts' research. Analysts create custom industry and company assumptions to feed income statement, balance sheet, and capital investment assumptions into our globally standardized, proprietary discounted cash flow, or DCF, modeling templates. We use scenario analysis, indepth competitive advantage analysis, and a variety of other analytical tools to augment this process. Moreover, we think analyzing valuation through discounted cash flows presents a better lens for viewing cyclical companies, high-growth firms, businesses with finite lives (e.g., mines), or companies expected to generate negative earnings over the next few years. That said, we don't dismiss multiples altogether but rather use them as supporting cross-checks for our DCF-based fair value estimates. We also acknowledge that DCF models offer their own challenges (including a potential proliferation of estimated inputs and the possibility that the method may miss shortterm market-price movements), but we believe these negatives are mitigated by deep analysis and our longterm approach.

Morningstar's equity research group ("we," "our") believes that a company's intrinsic worth results from the future cash flows it can generate. The Morningstar Rating for stocks identifies stocks trading at a discount or premium to their intrinsic worth—or fair value estimate, in Morningstar terminology. Five-star stocks sell for the biggest risk adjusted discount to their fair values, whereas 1-star stocks trade at premiums to their intrinsic worth.

Four key components drive the Morningstar rating: (1) our assessment of the firm's economic moat, (2) our estimate of the stock's fair value, (3) our uncertainty around that fair value estimate and (4) the current market price. This process ultimately culminates in our singlepoint star rating.

1. Economic Moat

The concept of an economic moat plays a vital role not only in our qualitative assessment of a firm's long-term investment potential, but also in the actual calculation of our fair value estimates. An economic moat is a structural feature that allows a firm to sustain excess profits over a long period of time. We define economic profits as returns on invested capital (or ROIC) over and above our estimate of a firm's cost of capital, or weighted average cost of capital (or WACC). Without a moat, profits are more susceptible to competition. We have identified five sources of economic moats: intangible assets, switching costs, network effect, cost advantage, and efficient scale.

Companies with a narrow moat are those we believe are more likely than not to achieve normalized excess returns for at least the next 10 years. Wide-moat companies are those in which we have very high confidence that excess returns will remain for 10 years, with excess returns more likely than not to remain for at least 20 years. The longer a firm generates economic profits, the higher its intrinsic value. We believe low-quality, no-moat companies will see their normalized returns gravitate toward the firm's cost of capital more quickly than companies with moats.

When considering a company's moat, we also assess whether there is a substantial threat of value destruction, stemming from risks related to ESG, industry disruption, financial health, or other idiosyncratic issues. In this context, a risk is considered potentially value destructive if its occurrence would eliminate a firm's economic profit on a cumulative or midcycle basis. If we deem the probability of occurrence sufficiently high, we would not characterize the company as possessing an economic moat.

2. Estimated Fair Value

Combining our analysts' financial forecasts with the firm's economic moat helps us assess how long returns on invested capital are likely to exceed the firm's cost of capital. Returns of firms with a wide economic moat rating are assumed to fade to the perpetuity period over a longer period of time than the returns of narrow-moat firms, and both will fade slower than no-moat firms, increasing our estimate of their intrinsic value.

Our model is divided into three distinct stages:

Stage I: Explicit Forecast

In this stage, which can last five to 10 years, analysts make full financial statement forecasts, including items such as revenue, profit margins, tax rates, changes in workingcapital accounts, and capital spending. Based on these projections, we calculate earnings before interest, after taxes (EBI) and the net new investment (NNI) to derive our annual free cash flow forecast.

Stage II: Fade

The second stage of our model is the period it will take the company's return on new invested capital—the return on capital of the next dollar invested ("RONIC")—to decline (or rise) to its cost of capital. During the Stage II period, we use a formula to approximate cash flows in lieu of explicitly modeling the income statement, balance sheet, and cash flow statement as we do in Stage I. The length of the second stage depends on the strength of the company's economic moat. We forecast this period to last anywhere from one year (for companies with no economic moat) to 10–15 years or more (for wide-moat companies). During this period, cash flows are forecast using four assumptions: an average growth rate for EBI over the period, a normalized investment rate, average return on new invested capital (RONIC), and the number of years until perpetuity, when excess returns cease. The investment rate and return on new invested capital decline until a perpetuity value is calculated. In the case of firms that do not earn their cost of capital, we assume marginal ROICs rise to the firm's cost of capital (usually attributable to less reinvestment), and we may truncate the second stage.

Stage III: Perpetuity

Once a company's marginal ROIC hits its cost of capital, we calculate a continuing value, using a standard perpetuity formula. At perpetuity, we assume that any growth or decline or investment in the business neither creates nor destroys value and that any new investment provides a return in line with estimated WACC.

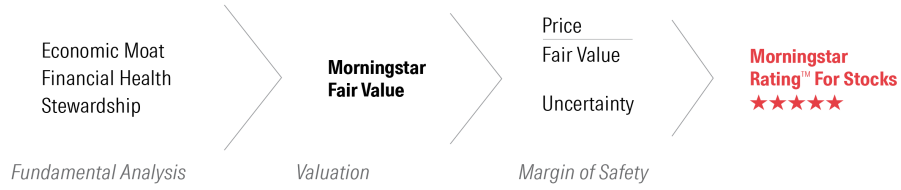
Because a dollar earned today is worth more than a dollar earned tomorrow, we discount our projections of cash flows in stages I, II, and III to arrive at a total present value of expected future cash flows. Because we are modeling free cash flow to the firm—representing cash available to provide a return to all capital providers—we discount future cash flows using the WACC, which is a weighted average of the costs of equity, debt, and preferred stock (and any other funding sources), using expected future proportionate long-term, market-value weights.

3. Uncertainty Around That Fair Value Estimate

Morningstar's Uncertainty Rating is designed to capture the range of potential outcomes for a company's intrinsic value. This rating is used to assign the margin of safety required before investing, which in turn explicitly drives our stock star rating system. The Uncertainty Rating is aimed at identifying the confidence we should have in assigning a fair value estimate for a given stock.

Our Uncertainty Rating is meant to take into account anything that can increase the potential dispersion of future

Morningstar Equity Research Star Rating Methodology



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outcomes for the intrinsic value of a company, and anything that can affect our ability to accurately predict these outcomes. The rating begins with a suggested rating produced by a quantitative process based on the trailing 12-month standard deviation of daily stock returns. An analyst overlay is then applied, with analysts using the suggested rating, historical rating data, and their own knowledge of the company to inform them as they make the final Uncertainty Rating decision. Ultimately, the rating decision rests with the analyst. Analysts take into account many characteristics when making their final decision, including cyclical factors, operational and financial factors such as leverage, company-specific events, ESG risks, and anything else that might increase the potential dispersion of future outcomes and our ability to estimate those outcomes.

Our recommended margin of safety—the discount to fair value demanded before we'd recommend buying or selling the stock—widens as our uncertainty of the estimated value of the equity increases. The more uncertain we are about the potential dispersion of outcomes, the greater the discount we require relative to our estimate of the value of the firm before we would recommend the purchase of the shares. In addition, the Uncertainty Rating provides guidance in portfolio construction based on risk tolerance.

Our Uncertainty Ratings are: Low, Medium, High, Very High, and Extreme.

	Margin of Safety	
Qualitative Analysis Uncertainty Ratings	★★★★★Rating	★Rating
Low	20% Discount	25% Premium
Medium	30% Discount	35% Premium
High	40% Discount	55% Premium
Very High	50% Discount	75% Premium
Extreme	75% Discount	300% Premium

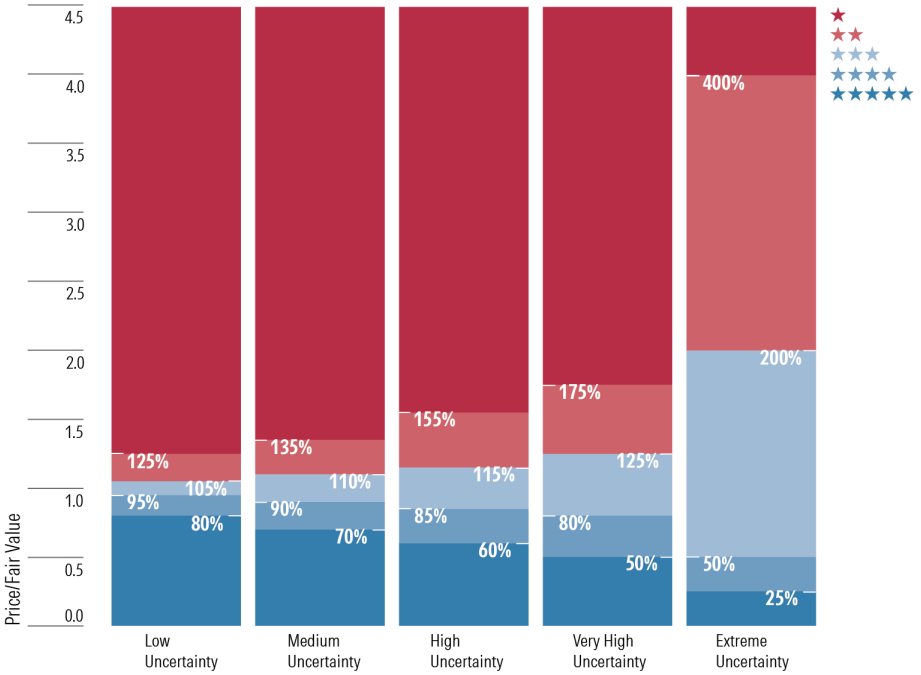
Our uncertainty rating is based on the interquartile range, or the middle 50% of potential outcomes, covering the 25th percentile–75th percentile. This means that when a stock hits 5 stars, we expect there is a 75% chance that the intrinsic value of that stock lies above the current market price. Similarly, when a stock hits 1 star, we expect there is a 75% chance that the intrinsic value of that stock lies below the current market price.

4. Market Price

The market prices used in this analysis and noted in the report come from exchange on which the stock is listed which we believe is a reliable source.

For more details about our methodology, please go to https://shareholders.morningstar.com

Morningstar Equity Research Star Rating Methodology



Morningstar Star Rating for Stocks

Once we determine the fair value estimate of a stock, we compare it with the stock's current market price on a daily basis, and the star rating is automatically re-calculated at the market close on every day the market on which the stock is listed is open. Our analysts keep close tabs on the companies they follow, and, based on thorough and ongoing analysis, raise or lower their fair value estimates as warranted.

Please note, there is no predefined distribution of stars. That is, the percentage of stocks that earn 5 stars can fluctuate daily, so the star ratings, in the aggregate, can serve as a gauge of the broader market's valuation. When there are many 5-star stocks, the stock market as a whole is more undervalued, in our opinion, than when very few companies garner our highest rating.

We expect that if our base-case assumptions are true the market price will converge on our fair value estimate over time generally within three years (although it is impossible to predict the exact time frame in which market prices may adjust).

Our star ratings are guideposts to a broad audience and individuals must consider their own specific investment goals, risk tolerance, tax situation, time horizon, income needs, and complete investment portfolio, among other factors.

The Morningstar Star Ratings for stocks are defined below:

★★★★★ We believe appreciation beyond a fair risk adjusted return is highly likely over a multiyear time frame. Scenario analysis developed by our analysts indicates that the current market price represents an excessively pessimistic outlook, limiting downside risk and maximizing upside potential.

★★★★ We believe appreciation beyond a fair risk-adjusted return is likely.

★★★ Indicates our belief that investors are likely to receive a fair risk-adjusted return (approximately cost of equity).

★★ We believe investors are likely to receive a less than fair risk-adjusted return.

★ Indicates a high probability of undesirable risk-adjusted returns from the current market price over a multiyear time frame, based on our analysis. Scenario analysis by our analysts indicates that the market is pricing in an excessively optimistic outlook, limiting upside potential and leaving the investor exposed to Capital loss.

Other Definitions

Last Price: Price of the stock as of the close of the market of the last trading day before date of the report.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments,

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and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

Capital Allocation Rating: Our Capital Allocation (or Stewardship) Rating represents our assessment of the quality of management's capital allocation, with particular emphasis on the firm's balance sheet, investments, and shareholder distributions. Analysts consider companies' investment strategy and valuation, balance sheet management, and dividend and share buyback policies. Corporate governance factors are only considered if they are likely to materially impact shareholder value, though either the balance sheet, investment, or shareholder distributions. Analysts assign one of three ratings: "Exemplary", "Standard", or "Poor". Analysts judge Capital Allocation from an equity holder's perspective. Ratings are determined on a forward looking and absolute basis. The Standard rating is most common as most managers will exhibit neither exceptionally strong nor poor capital allocation.

Capital Allocation (or Stewardship) analysis published prior to Dec. 9, 2020, was determined using a different process. Beyond investment strategy, financial leverage, and dividend and share buyback policies, analysts also considered execution, compensation, related party transactions, and accounting practices in the rating.

Sustainalytics ESG Risk Rating Assessment: The ESG Risk Rating Assessment is provided by Sustainalytics; a Morningstar company.

Sustainalytics' ESG Risk Ratings measure the degree to which company's economic value at risk is driven by environment, social and governance (ESG) factors.

Sustainalytics analyzes over 1,300 data points to assess a company's exposure to and management of ESG risks. In other words, ESG Risk Ratings measures a company's unmanaged ESG Risks represented as a quantitative score. Unmanaged Risk is measured on an open-ended scale starting at zero (no risk) with lower scores representing less unmanaged risk and, for 95% of cases, the unmanaged ESG Risk score is below 50.

Based on their quantitative scores, companies are grouped into one of five Risk Categories (negligible, low, medium, high, severe). These risk categories are absolute, meaning that a 'high risk' assessment reflects a comparable degree of unmanaged ESG risk across all subindustries covered.

The ESG Risk Rating Assessment is a visual representation of Sustainalytics ESG Risk Categories on a 1 to 5 scale. Companies with Negligible Risk = 5 Globes, Low Risk = 4, Medium Risk = 3 Globes, High Risk = 2 Globes, Severe Risk = 1 Globe. For more information, please visit sustainalytics.com/esg-ratings/

Ratings should not be used as the sole basis in evaluating a company or security. Ratings involve unknown risks and uncertainties which may cause our expectations not to occur or to differ significantly from what was expected and should not be considered an offer or solicitation to buy or sell a security.

Risk Warning

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